

But Don't Lose Hope!

Taking control of our portfolio sounds good on paper, but a DIY approach can be difficult. We must consider our process and understand reasons we may keep the status quo, and reasons we may fail. A simple model that keeps fees low, maintains liquidity, limits complexity, minimizes taxes, and avoids search costs can outperform the experts. Some of us may still prefer to work with an advisor, which makes sense if we know we do not have the mental discipline to adhere to the model. If we do decide to work with an advisor, stick to the FACTS, and remember that simple models can beat experts. Keep asking questions and make sure you understand each position in your portfolio.

However, we believe that many of us—from the middle-class to the mega-rich—can do it ourselves. Our financial health—and wealth—depend on it! We've outlined a DIY solution that can point us in the right direction. This concept is not the only DIY solution. There are many others. And we challenge everyone to develop their own concepts. In the end, as long as we are disciplined and committed to a thoughtful process that meets our goals, we will be successful as investors. Go forth and be one of the few, one of the proud, one of the DIY investors who took control of their hard-earned wealth. You won't regret the decision.

Is DIY the Only Solution?

We have tried to emphasize throughout this book that the FACTS matter. Armed with the FACTS framework, a DIY investor will naturally gravitate toward simple solutions that get the job done. As we saw throughout our analysis, a simple Ivy 5 or 60/40 solution can work well for the DIY investor. With our DIY solution, we've tried to add elements of asset allocation (simple is better), security selection (value and momentum seem to work), and an improved risk-management concept (trend-following and time-series rules) to create a portfolio “for all seasons.” Perhaps the DIY solution might not be ideal for you. That's fine. But any portfolio management solution should be relatively simple, minimize complexity, and be robust across different market regimes. Simultaneous with these requirements, the solution must be affordable, liquid, simple, tax-efficient,